can only be created by statute or 'enactment,' the statute or 'enactment' claimed to establish the duty must at the very least be identified.'" (*Ibid.* quoting *Searcy v. Hemet Unified School Dist.* (1986) 177 Cal.App.3d 792, 82 emphasis added.) The Complaint fails to identify any statutory basis for either of Plaintiff's claims.

In her opposition, Plaintiff argues that she properly alleges the elements of negligence for public employee liability for the dangerous condition of public property citing Government Code section 840.2. She also argues that there is a statutory basis for negligence liability under Government Code section 815.2, and that such liability is properly pled.

The problem with Plaintiff's arguments is that neither of these statutes is alleged in the complaint. In fact, there is no statutory claim or reference asserted anywhere in the complaint.

"[I]n California all government tort liability is dependent on the existence of an authorizing statute or 'enactment' [citations], and to state a cause of action every fact essential to the existence of statutory liability must be pleaded with particularity, including the existence of a statutory duty. [citation] Duty cannot be alleged simply by stating 'defendant had a duty under the law'; that is a conclusion of law, not an allegation of fact. The facts showing the existence of the claimed duty must be alleged. [citations] Since the duty of a governmental agency can only be created by statute or 'enactment,' the statute or 'enactment' claimed to establish the duty must at the very least be identified." (*Searcy v. Hemet Unified School Dist.* (1986) 177 Cal.App.3d 792, 802; see also, *County of Los Angeles v. Superior Court* (2024) 107 Cal.App.5th 160, 178 quoting *Searcy*; *Zuniga*, supra, 41 Cal.App.4th at 96, same.)

<u>Conclusion</u>

The City's demurrer is **sustained in full**. Plaintiff is granted leave to amend. Any amended complaint shall be filed within 14 days of entry of this order.

5. 9:00 AM CASE NUMBER: C25-00312
CASE NAME: LISA ROSS VS. WILLIAM & WILLIAM REAL ESTATE AUCTION
HEARING ON DEMURRER TO: 1ST AMENDED COMPLAINT
FILED BY: FASIG, KELSEY
<u>*TENTATIVE RULING:*</u>

The Demurrer of Defendants Williams & Williams Marketing Services, Inc. and Kelsey Fasig to Plaintiff Lisa Ross's First Amended Complaint is sustained in its entirety, with leave to amend. Defendants' motion to strike is denied as moot.

Defendants shall prepare the order and serve notice of entry of order. Plaintiff shall have 30 days from service of the order to file a Second Amended Complaint.

<u>Background</u>

On February 7, 2025, Plaintiff filed this action against named Defendants Williams & Williams Marketing Services, Inc. ("Williams"), Kelsey Fasig, Barrett Daffin Frappier Treder & Engel LLP and Nationstar Mortgage LLC ("Nationstar"). The subject of the complaint is a transaction in which

Williams advertised the property located at 4442 Deerfield Dr., Antioch, CA 94531 ("the Property") for auction on Williams' website and Plaintiff claim that she was the highest bidder for the Property on December 19, 2024. The Property was advertised at a foreclosure auction on October 2, 2024. On November 27, 2024, Defendant Nationstar bought the Property at the foreclosure sale. Defendants contend that on December 11, 2024, Nationstar listed the Property for sale by auction and a sale is now pending to a party other than Plaintiff. Plaintiff alleges, in sum, that Defendants violated Civil Code 2429m when Defendant Barrett did not accept her bid for the Property and convey title to her.

On October 6, 2025, Plaintiff filed a First Amended Complaint ("FAC") in response to a pending demurrer. The FAC asserts causes of action for (1) specific performance, (2) tortious interference with contract, (3) Violation of SB 1079 and AB 1837, (4) intentional misrepresentation, (5) negligent misrepresentation, (6) declaratory relief, (7) violation of the UCL, (8) injunctive relief, and (9) "damages." Defendants Williams and Fasig now demur to each cause of action in the FAC for failure to state a cause of action.

Defendants argue that Plaintiff's FAC fails to correctly identify the named defendants. Specifically, they argue that Plaintiff incorrectly refers to Williams & Williams Real Estate Auction as a defendant when the company's actual name is Williams and Williams Marketing Services Inc. They argue the FAC alternates between "Kelsy Fasig" and "Kelse Fasig" when Defendant's actual name is Kelsey Fasig. Defendants contend that Plaintiff refers to Barrett Daffin Frappier Treder & Weiss LLP, Barret Daffin Frappier Treder & Engell LLP, and Barrett Daffin Frappier Treder & Engell, LLP as parties, when the company's actual name is Barrett Daffin Frappier Treder & Engel, LLP. Defendants ask that the incorrect names be stricken from the FAC and Plaintiff be required to amend to refer to the parties consistently.

Legal Standards

A demurrer "tests the legal sufficiency of factual allegations in a complaint." (*Rakestraw v. Cal. Physicians' Service* (2000) 81 Cal.App.4th 39, 42.) Plaintiffs' well-pleaded facts are assumed to be true by the Court, but the Court does not assume the truth of contentions, deductions, or conclusions of fact or law. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

"Generally, it is an abuse of discretion to sustain a demurrer without leave to amend if there is any reasonable possibility that the defect can be cured by amendment." (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 349.)

Request for Judicial Notice

Defendants' request for judicial notice of various filings in this case is granted, although it is not necessary to request judicial notice of documents in the case file. The Court does not judicially notice the truth of hearsay statements in the filed documents. (*Richtek USA, Inc. v. UPI Semiconductor Corp.* (2015) 242 Cal.App.4th 651, 658.)

The First Cause of Action for Specific Performance

Plaintiff alleges that because she placed the high bid on the Property, an implied contract was formed on December 19, 2024. Defendants claim that Plaintiff cannot establish that they accepted her offer to purchase the Property because Plaintiff's own allegations concede that Defendants rejected

Plaintiff's bid and solicited a higher one, resulting in the conclusion that no contract was formed. (FAC at ¶¶ 29 & 49.) Defendants argue that because no contract was formed, specific performance is not a remedy that is available to the Plaintiff.

To establish the claim for specific performance, Plaintiff must prove breach of contract as well as the elements essential to grant the equitable remedy including: (1) the inadequacy of the legal remedy, (2) an underlying contract that is just, reasonable, and supported by adequate consideration; (3) contractual terms that are sufficiently definite to enable the court to know it would enforce, and (4) plaintiffs performance, tender, or excuse for nonperformance. (California Real Property Remedies and Damages, CEB, § 5.1.)

The elements for breach of contract cause of action are: (1) existence of contract; (2) plaintiff's performance or excuse for nonperformance; (3) defendant's breach (or anticipatory breach); and (4) resulting damage. (*Wall Street Network, Ltd. v. N. Y. Times Co.* (2008) 164 Cal.App.4th 1171, 1178.)

Here, the Court agrees that Plaintiff does not sufficiently allege the formation or existence of a contract that required Nationstar to sell the Property to her as the highest bidder at the auction. As such, the demurrer is sustained with leave to amend.

The Second Cause of Action for Tortious Interference with Contract

Tortious Interference requires there to be (1) a valid contract between plaintiff and a third party; (2) defendant's knowledge of this contract, (3) defendant's intentional acts designed to induce a breach or disruption of the contractual relationship, (4) actual breach or disruption of the contractual relationship, and (5) resulting damage. (*Hahn v. Diaz-Barba* (2011) 194 Cal.App.4th 1177, 1196.)

"The tort of intentional interference with contractual relations is committed only by 'strangers—interlopers who have no legitimate interest in the scope or course of the contract's performance.' ... Consequently, a contracting party is incapable of interfering with the performance of his or her own contract and cannot be held liable in tort for conspiracy to interfere with his or her own contract." (*PM Group, Inc. v. Stewart* (2007) 154 Cal.App.4th 55, 65.) Agents of a party to the contract are also not liable for intentional interference. (See *Redfearn v. Trader Joe's Company* (2018) 20 Cal.App.5th 989, 1003.)

For a defendant to be liable for tortious interference, there must have been a contract between the plaintiff and a third party, not another party to the action or the party's agent. Plaintiff's FAC does not plead a contract between Plaintiff and a third party. Instead, Plaintiff alleges that Defendants were the ones who interfered with the contract by rejecting her bid. (FAC at ¶ 34.) That is a breach of contract, not interference with contract.

Additionally, in light of the Court's conclusion that the FAC does not sufficiently allege the existence of a contract, it is appropriate to sustain the demurrer to the second cause of action alleging interference with Plaintiff's contractual relations. The claim is not viable without an enforceable contract. (See *Bed, Bath & Beyond of La Jolla, Inc. v. La Jolla Village Square Venture Partners* (1997) 52 Cal.App.4th 867, 877-880.) Thus, the failure to plead the existence of an enforceable contract also bars this claim.

The Third Cause of Action for "Violation of SB 1079 & AB 1837"

The third cause of action alleges a violation of Civil Code section 2924m. Although the statute originated with SB 1079 and was later amended by AB 1837, the controlling law is section 2924m.

Generally, a trustee's sale (that is, a foreclosure sale) is deemed complete and final when the last and highest bid is accepted at the trustee's public auction of the property subject to foreclosure. However, California modified its nonjudicial foreclosure scheme as described above in 2020, in response to the COVID pandemic shutdown. (S. B. 1079, Cal. 2019-20 Reg. Sess. (eff. Jan. 1, 2021).) The concern was that residents, who had been ordered to shelter-in-place, would be displaced by opportunistic real estate investors in a wave of foreclosures upon nonpayment of outstanding loans. (See *Applegate v. Carrington Foreclosure Servs., LLC* (2025) 112 Cal. App. 5th 356, 360 [discussing legislative history of Civil Code § 2924m].) Under the 2924m, a trustee's sale is deemed final under Civil Code section 2924m(c)(1), without further required steps, only if the last and highest bidder at the trustee's sale is a "prospective owner-occupant."

The requirements to qualify as a prospective owner-occupant are set forth in Civil Code § 2924m(a)(1) and require that the bidder must be a natural person, who will occupy the property as their primary residence and is not acting as the agent for any other person or entity. The high bidder has until 5 p.m. on the next business day following the auction to submit an affidavit or declaration to the trustee attesting that the bidder meets each of the prospective owner-occupant requirements set forth in Civil Code § 2924m(a)(1). (See Civil Code § 2924m(c)(1).) If the Sale Deed issued by the trustee is then recorded within 21 days of the auction, the sale is deemed perfected as of 8 a.m. on the date of the auction in accordance with Civil Code § 2924h(c).

If the highest bidder at the auction is not a "prospective owner-occupant," then the provisions of Civil Code § 2924m(c)(2)-(4) determine finality. The foreclosure process is extended and certain categories of parties—"eligible tenant buyer" and "eligible bidder"—are allowed to submit overbids. Within 15 days of the auction date, any eligible tenant buyer or eligible bidder may submit to the trustee a bid or notice of intent to place a bid.

"Eligible tenant buyer," defined in Civil Code § 2924m(a)(2), is not implicated here. An "eligible bidder" is broadly defined in the statute to include eligible tenant buyers, prospective owner-occupants, and certain designated nonprofit and governmental entities. (Civil Code § 2924m(a)(3).)

If an eligible bid or notice of intent to bid is not received within the 15-day window, then the sale is deemed final under Civil Code § 2924m(c)(2). If an eligible bid or notice of intent to bid is received, the provisions of Civil Code § 2924m(c)(3) and (4) are triggered. Under either of these provisions, a second window for action is opened, extending to 45 days after the auction.

Civil Code § 2924m(c)(3) allows all eligible tenant buyers acting together to submit a bid, in an amount equal to the highest bid at auction and be deemed the last and highest bid immediately upon the submission of their bid. Paragraph (4) allows any eligible bidder to submit an overbid, with the highest overbid received at the conclusion of the 45-day period deemed the last and highest bidder pursuant to the power of sale.

Thus, section 2924m establishes a two-step post-auction process where the highest bidder at the auction is not a “prospective owner-occupant.” First, within 15 days after the auction, an eligible tenant buyer or eligible bidder must submit to the trustee an eligible bid or a notice of intent to place a bid. (Civ. Code, § 2924m(c)(2).) If no eligible bid or notice of intent to bid is received within that 15-day period, the sale is deemed final. (*Ibid*.) Only if a timely eligible bid or notice of intent to bid is received within the initial 15-day window are the extended procedures in subdivisions (c)(3) and (c)(4) implicated, which permit bidding activity through 45 days after the auction.

Here, Plaintiff alleges the trustee’s sale took place on November 27, 2024, and that she submitted an SB 1079 bid in the amount of $356,500 on December 17, 2024. Plaintiff does not allege that she or anyone else submitted an eligible bid or notice of intent to bid within 15 days after the auction. Thus, on the face of the pleaded dates, Plaintiff’s December 17 bid occurred outside the 15-day period in § 2924m(c)(2), and the FAC does not allege facts showing the extended 45-day procedures were triggered.

The FAC’s allegation that Plaintiff "complied with all requirements" is a legal conclusion the court need not accept. The FAC pleads or incorporates the auction date and the bid date, and those dates show on their face that the bid was untimely, and the 45-day window was never triggered. The FAC therefore fails to state a claim under § 2924m.

Defendants assert that the foreclosure sale was final as of November 27, 2024, and Nationstar then advertised the Property for sale by auction on Williams’ website on December 17, 2024, such that the December sale by auction was not a foreclosure auction to which 2924m applies. They also argue that Plaintiff consented to Williams’ Terms of Sale when submitting her bid, including the following term: “Unless otherwise stated, all auctions are subject to court or seller approval.” Because these facts do not appear on the face of the FAC or any judicially noticeable matter, the Court does not consider them in ruling on the demurrer.

The demurrer to the third cause of action is sustained with leave to amend for Plaintiff to attempt to state a cognizable cause of action for violation of Civil Code section 2924m.

<u>The Fourth and Fifth Causes of Action for Intentional and Negligent Misrepresentation</u>

Defendants demur to the fourth and fifth causes of action for intentional and negligent misrepresentation on the grounds the complaint does not state facts sufficient to constitute a cause of action. The elements to establish a claim for deceit based on intentional misrepresentation are: (1) a misrepresentation; (2) knowledge of falsity; (3) intent to induce reliance; (4) actual and justifiable reliance; and (5) resulting damage. (*Chapman v. Skype Inc.* (2013) 220 Cal.App.4th 217, 231-232.)

The elements of a cause of action for negligent misrepresentation are the same as those for intentional misrepresentation except that it does not require knowledge of the falsity but instead requires a misrepresentation of fact by a person who has no reasonable grounds for believing it to be true. (*Id.* at 231.)

In her fourth cause of action for intentional misrepresentation, Plaintiff alleges she submitted a bid of $365,000 on December 17, 2024, Defendant Fasig allegedly told Plaintiff she was not the sole bidder, on December 19, 2024, Fasig allegedly emailed plaintiff that she was the high bidder, and on December 23, 2024, Defendants rejected Plaintiff’s bid. Plaintiff alleges she relied on Fasig’s statement that she was not the sole bidder by submitting an increased bid of $390,000, which also was not accepted, and she alleges she suffered economic harm and "lost bidding rights." (FAC ¶¶ 49-51.)

These allegations do not state a claim for fraud because the FAC does not plead a misrepresentation of fact that was false when made, nor does it allege facts showing Plaintiff took or refrained from taking any action in justifiable reliance that caused her damages in this case. The FAC does not explain what bidding rights were lost, or how any alleged misstatement caused that loss.

The fifth cause of action for negligent misrepresentation fares no better, Plaintiff's theory appears to be that during a two-day SB 1079 bidding period she submitted an SB 1079 bid of $356,500 and "strongly maintain[s]" she was the highest bidder because Defendants did not identify any higher SB 1079 bid. She alleges that on January 1, 2025, she followed up by email asking for a response and next steps. She then alleges that, based on the parties' "conduct, actions and circumstances," an implied-in-fact contract was formed "considering SB 1079 and AB 1837." Finally, she alleges Defendants "in the form of concealment" negligently failed to respond, and that she "relied" on that concealment by believing she was the winning bidder and would proceed toward the sale process. (FAC ¶¶ 52-57.) As with the fraud cause of action, Plaintiff does not allege sufficient facts showing she did or refrained from doing something because of a false statement (or a duty-based nondisclosure), and that this reliance caused her damages in this case.

The demurrer to the fourth and fifth causes of action is sustained with leave to amend for Plaintiff to plead facts supporting each element of her misrepresentation claims.

<u>The Sixth Through Ninth Causes of Action</u>

The sixth through ninth causes of action for declaratory relief, UCL violation, injunctive relief, and the purported cause of action for "damages" are derivative of the substantive claims. Accordingly, because the Court sustains the demurrer with leave to amend as to the underlying causes of action, the demurrer is also sustained with leave to amend as to these derivative causes of action.

<u>Motion to Strike</u>

The Court, upon a party's motion or upon its own, is authorized to "strike out any irrelevant, false, or improper matter inserted in any pleading" and to "strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court." (Code Civ. Proc. §436(a)-(b).)

Defendants move to strike any references to "Williams and Williams Real Estate Auction" and replace such references with "Williams and Williams Marketing Services Inc." They also move to strike references to "Kelsy Fasig" and "Kelse Fasig" and replace them with "Kelsey Fasig," and to strike references to "Barrett Daffin Frappier Treder & Weiss LLP" and replace them with "Barrett Daffin Frappier Treder & Engel, LLP." (See Notice of Motion to Strike filed 11/10/25.)

The motion to strike is moot in light of the Court's order sustaining the demurrer. However, Plaintiff should refer to the Defendants correctly and consistently in any amended pleading she files.